New York State EDUCATION DEPARTMENT
Knowledge › Skill › Opportunity

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New York State Education Department Personal Finance Education Learning Objectives

Section 100.2(c)(13) of the Commissioner's regulations requires public schools to provide instruction in personal finance education to students in grades Kindergarten through 12 (K-12). Such instruction must be provided to elementary school students by the end of grade 4, to middle school students by the end of grade 8, and to high school students by the end of grade 12. The following learning objectives support implementation of this instructional requirement by providing grade-banded learning objectives to guide instruction across K–12. While the New York State Education Department (NYSED) does not mandate specific curricula, the grade-banded learning objectives and glossary are intended to assist public schools in planning, delivering, and strengthening personal finance instruction. Additional information, guidance, and instructional resources are available on the NYSED Personal Finance Education Webpage.

The personal finance education learning objectives are organized into three grade bands:

- Grades K-4,
- Grades 5-8, and
- Grades 9-12

Learning objectives for each grade band are clustered into five personal finance topic areas:

1) Budgeting and Money Management,
2) Credit and Debt Management,
3) Earning Income,
4) Risk Management, and
5) Saving and Investing

The five topic areas are presented alphabetically, reflecting their equal importance. The order of the topic areas and associated learning objectives is not intended to prescribe the sequence of instruction. Public schools will determine the sequencing and delivery of instruction in a manner that best meets the needs of students and reflects local context and capacity.

NYSED Personal Finance Education Learning Objectives for Grades K-4

Learning Progression Overview for Grades K–4

In the K-4 grade band, personal finance instruction emphasizes foundational concepts across the five required topic areas: budget and money management; credit and debt management; earning income; risk management; and saving and investing. Instruction focuses on supporting students in making age-appropriate choices related to spending, saving, sharing, borrowing, lending, and risk management. Decisions regarding the sequence and delivery of instruction are made locally, recognizing that certain learning objectives may be more developmentally appropriate for students in earlier grades.

The learning objectives for the K-4 grade band align with New York's Social-Emotional Learning (SEL) Benchmarks by supporting students in building self-awareness and agency relevant to financial decision-making, self-regulating emotions related to needs and wants, and considering how to work toward a short-term goal. The K-4 learning objectives also align with the state's Culturally Responsive-Sustaining (CR-S) Education Framework, providing opportunities for students to explore how their own identities, cultural experiences, and values influence finance-related decisions, such as when differentiating between wants and needs, lending items, or avoiding risks.

Within the K-4 learning objectives, instruction in the earliest grades may focus on building students' awareness of money, its purposes, and basic counting skills. Students may engage in age-appropriate discussions and activities that include examples of sharing, giving, and borrowing. Students can begin to differentiate between needs and wants, providing simple explanations of each.

Instruction may introduce the idea that resources are limited and also support students in distinguishing between spending and saving. Students may engage in activities that involve making spending and saving decisions. For example, students may create a simple savings plan for a relevant but hypothetical purchase. Instruction may also support students in considering why people borrow and lend resources, as well as simple examples of risks that may result in a loss of money. Early learning experiences may also introduce the idea that people earn money by working and that money can be used to meet needs and wants.

In later grades of the K-4 grade band, the learning objectives support students in exploring factors that influence consumer decisions, such as their needs, product price, peers, and advertising. Instruction may also introduce foundational concepts in earning money, including why employers pay for work, and how education, skills, and experience can expand job opportunities. Students can expand their understanding of sharing and charitable behavior. Instruction may also support students in considering risks that may cost money, while remaining responsive to and mindful of students' lived experiences.

By the end of 4th grade, students are expected to have engaged in learning experiences aligned to the grade-banded learning objectives across all five topic areas. This includes building foundational knowledge and skills that support financial literacy, including basic money skills: (1) building an understanding of choices and tradeoffs, (2) engaging with the concept of financial planning, and (3) building an awareness of factors that influence consumers.

Learning Objectives for Grades K-4	
Topic	**By the end of 4th grade, students should be able to do the following:**
Topic 1: **Budgeting and Money Management** *The understanding of how to allocate one's financial resources to meet life goals*	1.1 Explain what money is used for and identify common forms of money, including coins and bills. 1.2 Demonstrate basic skills such as counting money and making change. 1.3 Differentiate between needs and wants and explain how factors such as price, peer influence, and advertisements can influence purchasing decisions.
Topic 2: **Credit and Debt Management** *The understanding of the role of credit in personal finance and how to avoid potential pitfalls of debt*	2.1 Describe the difference between borrowing and lending. 2.2 Explain why a person who borrows money or an item is expected to return it in full, sometimes with an additional amount or condition. 2.3 Provide reasons why a person might lend something to one individual rather than to another, such as trust or responsibility.
Topic 3: **Earning Income** *The understanding of how income is earned and how taxes impact the money that is taken home*	3.1 Describe how knowledge, skills, and experience can influence the kinds of jobs people do. 3.2 Explain how people earn money by working and providing goods or services. 3.3 Estimate how much income could be earned from an activity or business operated by young people (e.g., babysitting, lawn service, lemonade stand).
Topic 4: **Risk Management** *The understanding that risks are a part of life and strategies to manage that risk, including insurance policies*	4.1 Provide examples of risks that people face and that could result in financial costs (e.g., illness, injury, accidental damage, job loss, theft). 4.2 Recommend ways to reduce or prepare for risks (e.g., planning ahead, setting money aside for emergencies, or taking safety precautions).
Topic 5: **Saving and Investing** *The understanding of the role of putting money aside to plan for longer-term expenditures*	5.1 Describe saving as setting money aside for future needs or goals. 5.2 Describe investing as using money in ways that allow it to grow over time. 5.3 Develop a short-term goal and develop a hypothetical savings plan to reach that goal within a defined time frame.

NYSED Personal Finance Education Learning Objectives for Grades 5-8

Learning Progression Overview for Grades 5–8

In the 5-8 grade band, personal finance instruction enables students to deepen and apply their understanding across the five topic areas: budgeting and money management; credit and debt management; earning income; risk management; and saving and investing. Instruction emphasizes financial decision-making, money management tasks, and early planning for earning income.

Decisions regarding the sequence and delivery of learning objectives are made locally and may include integration into academic content areas, stand-alone courses, or the NYSED middle level Career and Technical Education instructional requirement including a module in Financial and Consumer Literacy.

As with the K-4 grade band, the grade 5-8 learning objectives align with New York's Social-Emotional Learning (SEL) Benchmarks and the Culturally Responsive-Sustaining (CR-S) Education Framework. Students can apply self-regulation skills and responsible decision-making skills within authentic financial planning contexts, examining how personal values, obligations, and priorities influence financial choices. Through the development of a budget plan, students clarify distinctions between needs and wants while strengthening goal-setting skills. Students also analyze how individuals may experience different financial outcomes and consider the role of external factors such as community context, and access to resources and systems in shaping financial decision-making. In addition, students may begin to "lean into discomfort" that may arise when they discern wants versus needs and the impacts that financial decisions may have on others.

Instruction supports deeper analysis of consumer decision-making and budgeting by helping students make more nuanced distinctions among needs, wants, values, and goals, and has students articulate how each shapes financial decisions. They evaluate information about goods and services and consider the influence of peers, advertising, technology, and broader economic conditions on their spending and saving decisions.

Students are introduced to foundational concepts related to credit and debt management. Instruction addresses factors to consider in using credit, including interest rates; fees, as well as the consequences of missed or late payments; and strategies to minimize interest charges. Students also explore risk-management concepts, including the purpose of insurance, warranties, and strategies to protect personal information and reduce the risk of identity theft.

To support early adolescents in exploring future pathways, instruction engages students in learning related to earning income and planning for college and career. Students examine education and training requirements for multiple careers, as well as how earning potential varies by career. Students also explore concepts in saving and investing income, including interest rates, investment assets, and the benefits of early investment.

By the end of 8th grade, students will have engaged in learning experiences aligned to the grade-banded learning objectives across all five topic areas. Students can construct a budget, evaluate consumer and financial information, and explain a variety of contextual influences on financial decisions. Students can apply foundational knowledge related to earning income, managing credit and risk, and saving and investing in preparation for high school and postsecondary planning.

Learning Objectives for Grades 5-8	
Topic	**By the end of 8th grade, students should be able to do the following:**
Topic 1: **Budgeting and Money Management** *The understanding of how to allocate one's financial resources to meet life goals*	1.1 Distinguish between financial needs, wants, values, and goals, and explain how each influences spending and savings decisions in real-world situations. 1.2 Analyze why people with similar incomes may experience different financial outcomes, considering factors such as priorities, obligations, unexpected expenses, access to resources, and decision-making. 1.3 Create a budget for a hypothetical income that includes planned expenses and savings. 1.4 Evaluate information about goods and services by assessing the credibility, accuracy, and potential biases of different sources, including advertisements and online content. 1.5 Explain how external influences such as peers, advertising, technology, and economic conditions can shape consumer choices and finances. 1.6 Compare common payment methods—including cash, check, credit cards, and digital payment apps—by summarizing their advantages, disadvantages, risks, and consumer protections.
Topic 2: **Credit and Debt Management** *The understanding of the role of credit in personal finance and how to avoid potential pitfalls of debt*	2.1 Examine factors that influence the decision to use credit, including needs versus wants, simple interest, fees, repayment terms, and personal and legal responsibilities of using credit. 2.2 Explain the costs and benefits of using credit to finance different types of purchases, and describe situations in which using credit may be helpful or harmful. 2.3 Explain strategies credit card users can use to minimize simple interest charges, such as paying balances in full, paying on time, and understanding billing cycles. 2.4 Describe how missed or late payments affect credit agreements, including changes to low introductory interest rates, fees, and long-term costs.
Topic 3: **Earning Income** *The understanding of how income is earned and how taxes impact the money that is taken home*	3.1 Compare the education, training, and skills required for multiple careers, and explain how these factors influence earning potential. 3.2 Analyze the difference between gross income and net income, including the impact of taxes and common payroll deductions, such as Social Security and Medicare. 3.3 Explain how taxes reduce take-home pay and describe the purposes of taxes, including funding public services such as schools, libraries, roads, emergency services, and community programs.

Learning Objectives for Grades 5-8	
Topic	**By the end of 8th grade, students should be able to do the following:**
Topic 4: **Risk Management** *The understanding that risks are a part of life and strategies to manage that risk, including insurance policies*	4.1 Explain how advance planning and insurance can reduce the financial impact of unexpected events, such as damage to personal property, illness, or injury. 4.2 Describe the purpose of insurance and how insurance works, including the concepts of premiums, coverage, and shared risk (e.g., higher premiums for auto insurance for drivers with a bad accident record and flood insurance for houses on the coastline). 4.3 Analyze the costs and benefits of purchasing an extended warranty on a specific item (e.g., cellphone, laptop, or vehicle). 4.4 Identify common methods used by identity thieves to obtain personal information, such as phishing or fake websites, and recommend actions individuals can take to protect personal and financial information (e.g., safe online behavior, strong passwords, and careful sharing of personal information).
Topic 5: **Saving and Investing** *The understanding of the role of putting money aside to plan for longer-term expenditures*	5.1 Identify common reasons that people save money—such as for making a large purchase, preparing for emergencies, or reaching personal goals—and create a simple savings plan to reach a short-term goal within one year. 5.2 Define and differentiate between investment principal and interest, and then explain how interest allows savings or investments to grow over time. 5.3 Compare savings account interest rates across multiple institutions and demonstrate how a higher interest rate will help a person reach their savings goal sooner. 5.4 Describe the potential benefits and risks of different types of investment assets, such as stocks, mutual funds, real estate, and cryptocurrency. 5.5 Explain why starting to save or invest earlier can lead to greater returns over time. 5.6 Explain how diversification helps reduce investment risk by spreading money across different types of assets, rather than relying on one single investment.

NYSED Personal Finance Education Learning Objectives for Grades 9-12

Learning Progression Overview for Grades 9-12

In the 9-12 grade band, personal finance instruction enables students to deepen and apply their understanding across the five topic areas: budgeting and money management; credit and debt management; earning income; risk management; and saving and investing. Decisions regarding the sequence and delivery of learning objectives are made locally and may include integration into academic content areas, stand-alone courses, or high school Career and Technical Education (CTE) programming, which includes one-half unit of Career and Financial Management.

The learning objectives for grades 9-12 incorporate concepts from New York's Social-Emotional Learning (SEL) Benchmarks and the Culturally Responsive-Sustaining (CR-S) Education Framework. Through these learning objectives, students examine the social and community impacts of consumer decision-making, including the role of charitable giving and civic engagement through donations of time and resources. Instruction can cultivate financial self-agency by supporting students in identifying emotional, cultural, and external influences on financial choices; developing and managing personal budgets; and planning for short- and long-term financial goals. Students consider the broader impacts of inequitable funding within their communities, foster empathy skills, and focus on ways they can support others as they become responsible citizens. Students build practical, transferable skills such as opening and maintaining bank accounts, interpreting pay stubs, and understanding earned income.

Instruction supports students in applying and integrating their knowledge and skills within authentic, real-world financial contexts. Instruction at this level emphasizes practical money management strategies and the effective use of tools and systems to manage spending, saving, and investing. Budgeting at this level extends beyond basic planning to include analysis of fixed and variable expenses and social, emotional, and environmental impacts of spending choices. Throughout instruction, students analyze real-world influences on financial decision-making, including sophisticated marketing strategies through social media and digital technology platforms.

High school students engage in purposeful planning for careers and postsecondary education. Instruction supports students in evaluating career pathways by examining education and training requirements, earning potential, employee benefits, and economic and labor market conditions. Students analyze sources of funding for postsecondary education, including financial aid. Instruction addresses practical matters related to college and careers, such as the completion of the FAFSA and simple IRS tax form completion.

Students deepen their understanding of financial risk and strategies for risk management. Instruction addresses forms of debt students may encounter, including high-cost and predatory lending products, and emphasizes responsible credit use. Students evaluate insurance options and develop strategies to protect themselves from identity theft, fraud, and other financial risks they may face as they transition to adulthood.

Saving and investing skills are essential for students' transition from K-12 into postsecondary education and career pathways. Students will compare features and interest rates of various types of accounts and be able to open and use a bank account. Instruction also introduces a range of investment options from stocks to tax-advantaged investment accounts, with attention to risk, return, and long-term financial goals.

By the end of 12th grade, instruction ensures that students have had meaningful opportunities to engage with learning objectives across all five topic areas. Students can manage realistic budgets and independently make well-informed, responsible decisions related to earning, spending, saving, investing, and managing financial risk in preparation for postsecondary education, careers, and adult life.

Learning Objectives for Grades 9-12	
Topic	**By the end of 12th grade, students should be able to do the following:**
Topic 1: Budgeting and Money Management *The understanding of how to allocate one's financial resources to meet life goals*	1.1 Develop and manage a budget that allocates income to necessary spending, desired spending, and saving, including consideration of fixed and variable expenses, using appropriate tools or systems to track financial activity. 1.2 Evaluate consumer purchasing decisions by analyzing factors such as cost, features, personal benefit, environmental or social impact, and the influence of marketing and advertising, including social media. 1.3 Compare housing options, including renting and buying, by analyzing short- and long-term costs, benefits, and responsibilities, and explain key rental agreement terms such as lease term, security deposit, grace period, and eviction. 1.4 Assess charitable giving decisions by explaining benefits, considerations, and strategies for evaluating organizations when donating money, goods, or time.
Topic 2: Credit and Debt Management *The understanding of the role of credit in personal finance and how to avoid potential pitfalls of debt*	2.1 Compare examples of "good debt" and "bad debt", and explain how changes in interest rates, repayment behavior, or financial circumstances can cause "good debt" to become harmful. 2.2 Evaluate credit card options by analyzing interest rates (called Annual Percentage Rate), fees, billing cycles, rewards, and terms, and explain strategies for avoiding fees, penalties, and interest rate increases. 2.3 Distinguish between unsecured versus secured loans, including the role of collateral, and explain the financial and legal consequences of failing to meet repayment obligations for each. 2.4 Compare different sources of funding for postsecondary education, including the differences between federal and private student loans, by examining application processes, interest rates, repayment rules, and total repayment costs over time. 2.5 Identify and describe sources of financial aid for postsecondary education—such as grants, scholarships, work-study, and the New York State Tuition Assistance Program (TAP)—as well as reasons to complete the Free Application for Federal Student Aid (FAFSA). 2.6 Explain the purpose and use of credit reports, including factors that influence a credit score, strategies for building and improving credit, how reports are used by lenders and other parties, and how a person can obtain a free credit report. 2.7 Analyze the short- and long-term consequences of failing to repay debt, including impacts on credit, employment, housing, and overall financial well-being, and identify strategies and sources of assistance for managing or resolving debt. 2.8 Assess the costs, risks, and characteristics of alternative financial services, such as payday loans and check-cashing services, and compare them to traditional banking and credit options.

Learning Objectives for Grades 9-12	
Topic	**By the end of 12th grade, students should be able to do the following:**
Topic 3: **Earning Income** *The understanding of how income is earned and how taxes impact the money that is taken home*	3.1 Identify and compare common types of employee benefits such as health insurance, retirement plans, and paid leave, and explain why benefits should be evaluated alongside wages and salaries when choosing between job opportunities. 3.2 Evaluate the tradeoffs between income and non-income factors—including job stability, work-life balance, working conditions, and career advancement opportunities—when making career or employment choices. 3.3 Compare earnings and unemployment rates across a variety of careers and levels of education and training, and explain how education, credentials, and skill development influence earning potential and employment prospects. 3.4 Explain how economic and labor market conditions such as inflation, recession, technological change, and regional workforce demand can affect income, career opportunities, and employment status. 3.5 Evaluate the benefits and drawbacks of "gig" employment and small-business ownership. 3.6 Complete a tax return form (such as the IRS Form 1040) using a hypothetical employer-provided Form W-2 and fictitious employee information, ensuring that no real personal or financial information is used. 3.7 Describe common taxes and payroll deductions shown on a pay stub, such as federal and state income taxes, Social Security, and Medicare.
Topic 4: **Risk Management** *The understanding that risks are a part of life and strategies to manage that risk, including insurance policies*	4.1 Explain benefits, costs, and purposes of different types of insurance—such as automotive, health, life, disability, home, renters—and explore appropriate coverage for individuals with varying characteristics, needs, and types of property. 4.2 Describe the minimum auto liability insurance required in New York State and evaluate whether these requirements are sufficient to cover typical financial losses resulting from an automobile accident. 4.3 Explore options for securing health insurance (e.g., employer-sponsored, private individual, Health Insurance Marketplace, Medicare, Medicaid, Military Health Care), and analyze how premiums, deductibles, copayments, and coinsurance affect overall cost. Describe the legal and financial consequences associated with insurance fraud. 4.4 Evaluate how online behavior, e-mail and text-message scams, telemarketers, and other methods can increase consumer vulnerability to privacy violations, identity theft, and financial fraud. 4.5 Discuss strategies to reduce the risk of identity theft and financial fraud, as well as steps to take if identity theft or financial fraud occurs.

Learning Objectives for Grades 9-12	
Topic	**By the end of 12th grade, students should be able to do the following:**
Topic 5: **Saving and Investing** *The understanding of the role of putting money aside to plan for longer-term expenditures*	5.1 Differentiate between saving and investing, and then explain how each supports short- and long-term financial goals. 5.2 Identify strategies to achieve saving goals, including managing social, emotional, and behavioral obstacles that may influence spending and saving decisions. 5.3 Compare the features, interest rates, and fees of common financial accounts, such as regular savings, high-yield savings, checking, money market, and mobile-only accounts, and choose a preferred account based on individual needs, preference, interest rates, and fees. 5.4 Explain how to open and manage a bank account, including setting up direct deposit, and using digital financial tools, such as budgeting and payment apps. 5.5 Evaluate the impact of time on investing, including how investing earlier in life contributes to wealth accumulation, compared with investing later in life. 5.6 Compare the features of tax-advantage investment accounts, such as education savings accounts, 529 plans, traditional and Roth IRAs (Individual Retirement Accounts), 401(k)s, pensions, and health savings accounts. 5.7 Compare common investment options—including stocks, bonds, index funds, mutual funds, cryptocurrency, and real estate—analyzing potential risks, returns, liquidity, and volatility. 5.8 Apply decision-making strategies to set personal investment goals based on timeline, income, risk tolerance, and the principles of diversification to help manage risk and optimize potential returns. 5.9 Describe consumer rights and legal remedies for financial disputes, including the roles of the Bureau of Consumer Protection and Small Claims Court.

Glossary of Key Terms

401(k) Retirement Savings Plan – An employer-sponsored retirement savings plan that allows a person to invest a portion of each paycheck with tax benefits. In some cases, employers offer a matching contribution to the savings plan. There are different types of 401(k) plans, including traditional (tax on contributions is deferred until withdrawal in retirement) and Roth (contributions are made after-tax, for tax-free withdrawal in retirement).

529 Plan – A tax-advantaged investment account designed to save for education costs in kindergarten through college, including tuition, room and board, books, and computer equipment. Contributions and withdrawals are not taxed when used for education expenses. 529 plans typically have fewer restrictions on contributions and uses than education savings accounts, which are similar.

Bond – A fixed-income investment that is like an IOU from a government or company. A person loans money to the borrower, with the agreement that the borrower will pay it back with interest after a certain amount of time. Bonds are typically a safer and more predictable investment than stocks, while often providing lower returns.

Borrowing – To use something that belongs to someone else, with the intention of returning it later. A person can borrow a toy from a friend, as well as borrow money from a bank or other lender. When borrowing money, the borrower often agrees to pay the lender back the original amount plus interest and fees.

Budget – A plan that helps you see the amount of money that you have, bring in as income, and can spend and save, usually on a monthly basis.

Credit – A financial agreement to borrow money and repay it later, often with interest (or additional payment to the lender for the service). Credit can also be used to borrow goods or services, with the promise to pay for it later.

Credit Report – A detailed long-term report of a person's credit activity and current credit situation. It includes a record of the person's borrowing and repayment history, credit card balances, and a credit score that lenders use to assess creditworthiness. Three companies develop credit reports—Equifax, Experian, and TransUnion—though others may provide individuals with information from credit reports developed by these three companies.

Credit Score – A three-digit number that indicates a person's creditworthiness, based on the information in their credit report. A lender uses a credit score to determine if a person is likely to repay a loan and to set the borrowing terms and interest rates. Higher scores (e.g., 740-850) suggest that they are more likely to make payments on time, and lower scores (e.g., 300-579) suggest that they are less likely to make payments on time.

Cryptocurrency – A digital-only financial asset (or money) that has no government or bank authority controlling it. Cryptocurrency is stored in a digital wallet and can be used for saving, investing, or spending. Cryptocurrency is volatile in terms of its value, with some people finding it risky.

Diversification – The spreading of investments across different types of investments to minimize risks that a single type of investment could decrease in value. For instance, investors may choose to diversify their investments across types of assets (e.g., stocks, bonds, cash, and real estate), types of industries, and sizes and locations of companies.

Education Savings Account (ESA) – A tax-advantaged investment account designed to save for education costs from kindergarten through college, including tuition, tutoring, and school supplies. Contributions and withdrawals are not taxed when used for education expenses. ESAs typically have more restrictions on contributions and uses than 529 plans, which are similar.

Eviction – The removal of tenant from a rental property, such as an apartment or house. Reasons a landlord may want to evict a person include not paying rent as agreed upon, damaging the property, or illegal activity.

Fraud – An intentionally deceptive or dishonest act to receive a benefit, often monetary. Fraud is a crime, and it can include identity theft, use of stolen credit cards, writing bad checks, Ponzi schemes, and impostor scams demanding payment.

Goals – An objective a person sets out for themself to achieve. Goals sometimes take a long time to achieve, and a person may decide on goals for many things: education achievements, careers, money and finances, personal skills, relationships, and travel. Goals help give a person direction and purpose to their efforts.

Goods – Physical objects that a person needs or wants. Goods are materials that can be touched and purchased, such as food, clothing, toys, and electronics. Goods can be owned and kept by a person.

Grace Period – A period of time after a payment due date when a borrower or renter can make a payment without a penalty fee or interest. A grace period might be 15 to 30 days. After the grace period, a person will likely need to pay more than they would otherwise.

Health Savings Account (HSA) – A tax-advantaged savings account to help a person pay for medical costs, including doctor visits, prescriptions, dental care, and vision. It has several tax benefits, and the funds remain in your account from year to year if they are not spent.

Income – Money received by a person in exchange for their work, selling something, or an investment they made. Often, a key portion of income is a person's employment pay, including wages, salaries, or tips.

- **Gross Income** is the total amount of money earned before taxes and deductions are removed from the total.
- **Net Income** is the amount of money a person receives after taxes and deductions have been removed from their gross (or total) income, and it is commonly referred to as "take-home pay."

Index Fund – A type of mutual fund investment that buys shares in many companies, while attempting to match the performance of a preset group of companies. For instance, an index fund may try to mimic the performance of 500 companies in the "S&P 500" group, such as by investing in many or all those same companies. Index funds are a way to diversify investments, minimize the risk, and pay lower fees.

Individual Retirement Account (IRA) – Tax-advantaged accounts to save for retirement. IRAs offer tax benefits that encourage saving.

- **Traditional Individual Retirement Accounts** are tax-advantaged accounts to save for retirement, in which a person contributes to the account *without* having taxes taken prior to the contribution. Taxes are paid when funds are withdrawn in retirement, since taxes were not paid on the contributions earlier.
- **Roth Individual Retirement Accounts** are tax-advantaged accounts to save for retirement, in which a person contributes to the account *with* taxes taken out prior to the contribution. In retirement, withdrawals from the account are tax-free, since taxes on the contributions were paid earlier.

Insurance – An agreement in which a person is protected from big unexpected financial losses in exchange for a smaller fee they pay to an insurance company. A person makes regular payments (called premiums), and the company pays for agreed-upon losses that may happen from an accident, illness, or property damage.

Interest Rate – The cost of borrowing money, paid by the borrower to the lender. The interest rate is a percentage of the total amount borrowed over a specific time period. When a person borrows money through a loan, they typically must pay the lender an extra fee (called interest) in addition to repaying the amount borrowed. When a person saves or invests money with a bank, the person receives additional money from the bank as interest.

Investment Assets – Something a person buys expecting it to increase in value or produce income. Investment assets are typically held to grow wealth, and include stocks, bonds, retirement accounts, real estate, gold, and collectibles.

Lending – When a person or company gives something to someone else temporarily, with an agreement that they will get it back. The lender gives something to a borrower, and sometimes the agreement is that the borrower will give them something extra in addition to what was borrowed. When lending money, a bank or person will typically expect to be repaid with interest. This is how lenders get their original amount of money back plus additional money.

Loan – An agreement for a lender to provide money to a borrower, who will repay the money and any agreed-upon interest within a set timeframe.

- **Secured Loans** require collateral (e.g., home or car) that the lender can claim if the borrower does not repay the loan. Examples include auto loans and home mortgages.
- **Unsecured Loans** do not require collateral and have a higher risk for the lender, which often results in unsecured loans requiring greater creditworthiness and having higher interest rates. Examples include credit cards, student loans, and personal loans.

Money – Something that has value and can be used to pay for things. Money makes it easier to trade or exchange, because people agree on its value, and it is easy to move from one person to another. Money can be cash and coins you can hold, it can be in the form of a digital bank balance, or it can be other things that hold value (such as gold).

Mutual Fund – An investment that combines money from many investors to buy a diverse collection of assets, such as stocks and bonds. Instead of buying stock in a single company, a person joins other investors in giving money to the mutual fund to own a small piece of many other investments. A fund manager makes the decisions about which investments the mutual fund will make.

Needs – Something that is necessary for a person's well-being, rather than being something a person wants because it would be nice to have. Basic needs include food, water, shelter, and clothing, but other needs may include electricity, health care, education, internet, transportation, and healthy relationships. Some needs may be different for each person, and a person's most important needs may change over time.

Pension – An employer-sponsored retirement plan or arrangement that provides income after retirement. An employer, and sometimes an employee, contributes to the pension throughout the employee's career, with a promise to provide a payout to the employee in retirement, typically monthly.

Premium – The amount of money a person pays to an insurance company to maintain insurance coverage. Premiums are often paid monthly or annually.

Principal – The original amount of money borrowed in a loan. A borrower typically must repay the full principal amount plus pay the lender interest charges that are a percentage of the principal amount. Principal also can refer to the original amount of money a person placed into an investment.

Real Estate – Land and the buildings or other structures on it. Real estate is a type of investment.

Returns – The financial gain or loss from an investment for a specific time period. Returns are the change in the investment value, usually expressed as a percentage of the original investment cost.

Risk – The possibility that an event could cause a loss. Insurance can reduce the risk of unexpected events (e.g., illness, accident, fire, and natural disasters) causing big financial losses.

Security Deposit – An amount of money a person pays up front to a landlord to rent an apartment or house. This payment is held by the landlord in case the renter (or tenant) does not pay their rent or damages the property. If the tenant pays the rent on time and leaves the property in good shape, then the landlord gives the money back to the tenant after they move out. Often the security deposit equals one or two months' rent.

Services – Actions or work that a person needs or wants. A person can pay for a service that another person provides, such as haircuts, medical care, education, banking, and cleaning. Services are different than goods, which are physical objects that can be purchased and owned.

Stock – An investment in which a person buys a small portion or share of ownership of a company.

Tax – A required payment collected by the government, including federal, state, and local governments. Taxes are used to cover the costs of public services like schools, roads, fire departments, defense, and social welfare. Taxes are collected on paychecks, investments, purchases, and property owned.

Values – A person's own beliefs of what is right and important in life. Values can guide a person's decisions and behaviors. Examples of values may include honesty, generosity, growth, kindness, independence, creativity, freedom, and family.

Wants – Something that a person would like to have, but that is not truly necessary for their well-being. A person's needs may include food, shelter, and health care, whereas a person's wants may include a toy, designer clothing, streaming service, or concert tickets. Sometimes a need may become a want, such as when a person needs transportation but wants to buy an expensive sports car.

Warranty – A guarantee from the maker or seller of something that they will repair or replace it if it does not work as promised for a certain time period. Some warranties are free when a purchase is made; other warranties cost additional money. For example, an extended warranty is an optional paid plan that extends the timeline in which the maker or seller will pay for repairs or replacement.

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